

E-COMMERCE CUSTOMER CHURN ANALYSIS

Business Recommendation Document

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01—SITUATION

An analysis of 5,000 e-commerce customers across a full year reveals a churn rate of **45.6%** - more than double the industry benchmark of approximately 20%. If left unaddressed, this level of churn will result in **7.02 crore in annual revenue loss**. The financial damage is concentrated in a specific subset of customers: High Value customers who are disengaged and have had complaints go unresolved.

02 — KEY FINDINGS

- Early-stage customers are the most vulnerable. Customers in their first 3 months churn at 62% - contributing 1.57 crore in monthly revenue at risk. The onboarding experience is broken.
- Unresolved complaints are a direct revenue leak. 721 customers had complaints that were never resolved. They churn at 56.4% vs 37.8% for customers who never complained an 18 point gap caused entirely by support team inaction.
- High Value customers carry 87% of financial exposure. Although Low Value customers churn at the highest rate (52.7%), losing a High Value customer costs 13.9× more per month than losing a Low Value one (6536 vs 471).
- Dormant customers represent the single largest revenue risk. 2458 customers who haven't purchased in 90+ days churn at 58.3% and account for 3.7 crore in monthly revenue at risk, 64% of total exposure.
- 109 customers sit at the deadliest intersection of all risk factors: High Value + Dormant + Unresolved Complaint. This group churns at 65.1% and carries 52 lakh in annual revenue at risk. Small enough to call personally. Dangerous enough to act on immediately.

03 — CUSTOMER RISK FRAMEWORK

Customers were segmented into four risk tiers based on value, recency, and complaint status:

Risk Tier	Customers	Churn Rate	Annual Rev at Risk	Recommended Action
CRITICAL	152	56.6%	₹65.5L	Personal outreach — Week 1
HIGH	2,044	47.4%	₹425L	Automated re-engagement — Week 2
MEDIUM	1,437	53.7%	₹131.8L	Loyalty nudge campaigns — Month 1
LOW	1,367	33.1%	₹79.6L	Standard engagement programs

04 — RECOMMENDATIONS BY BUSINESS TEAM

Team	Priority Action	Target Outcome	Timeline
 Retention	Personally call all 152 CRITICAL customers. Offer complaint resolution and win back incentive.	Recover ₹20L annually by saving top 30%	Week 1
 Marketing	Launch re-engagement campaign for 2458 dormant customers. Personalised cashback for 0-3 month users.	Reduce dormant churn from 58% to 45%	Week 2
 Support	Resolve all 721 open complaints within 48 hours. Priority queue for High Value customers.	Reduce unresolved churn from 56% to 42%	Immediate
 Product	Fix onboarding for 0-3 month customers. Improve Tier 3 delivery SLA. Add proactive order notifications.	Reduce early churn from 62% to 48%	Month 1

05 — PROJECTED IMPACT

Implementing all four team actions simultaneously is projected to reduce overall churn from 45.6% to approximately 35% within 6 months - protecting an estimated ₹2.5 crore in annual revenue currently at risk and converting this analysis into measurable business impact.